

Consolidated Statements of Cash Flows*(Amounts expressed in thousands of United States dollars, except for per share amounts)*

	December 31, 2025	For the Years Ended December 31, 2024	December 31, 2023
Operating activities			
Net loss from continuing operations	\$ (24,489)	\$ (20,891)	\$ (27,627)
Adjustments to reconcile net loss to net cash provided by operating activities			
Accretion and accrued interest	7,945	10,862	9,004
Depreciation of property and equipment and amortization of intangible assets	15,621	14,555	14,840
Amortization of operating right-of-use assets	1,595	1,617	1,263
Share-based compensation	5,007	9,706	7,707
Deferred income tax expense recovery	(532)	1,368	(10,254)
Loss (gain) on fair value of derivative liabilities	535	(4,549)	(181)
Unrealized and realized loss on investments	1,365	238	2,604
(Gain) loss from revaluation of contingent consideration	(1,004)	2,465	(645)
Provision for expected credit loss (recovery)	1,665	3,054	—
Loss on extinguishment of debt	1,432	2,096	—
Unrealized and realized foreign exchange (gain) loss	(687)	940	2
Impairment and other	2,634	1,249	19,504
Changes in operating assets and liabilities			
Receivables	1,646	(5,302)	(8,675)
Inventory	5,946	1,171	(4,250)
Accounts payable and accrued liabilities	(4,515)	(316)	9,125
Income taxes paid and tax related liabilities	20,498	28,702	39,030
Prepaid expense and other current assets	(144)	52	1,135
Other assets and liabilities	(592)	(801)	(694)
Net cash provided by operating activities - continuing operations	33,926	46,216	51,888
Net cash used in operating activities - discontinued operations	(12,398)	(8,266)	(24,417)
Net cash provided by operating activities	21,528	37,950	27,471
Investing activities			
Investment in property and equipment	(8,614)	(6,866)	(4,871)
Investment in note receivable, net of interest received	165	(1,460)	—
Investment in intangible assets	(738)	(1,187)	(1,668)
Cash portion of consideration paid in acquisition	(5,128)	(250)	(16,789)
Deposits for business acquisition	(3,400)	—	—
Success fees related to Alternative Treatment Center license	—	—	(3,012)
Net cash used in investing activities - continuing operations	(17,715)	(9,763)	(26,340)
Net cash provided by (used in) investing activities - discontinued operations	3,108	(2,484)	10,121
Net cash used in investing activities	(14,607)	(12,247)	(16,219)
Financing activities			
Proceeds from loan payable, net of transaction costs	78,944	129,382	23,869
Loan principal paid	(70,490)	(136,996)	(42,759)
Loan exit fee paid	(233)	(500)	(1,178)
Capital distributions paid to non-controlling interests	(3,237)	(7,324)	(11,621)
Payment for contingent consideration	(386)	—	—
Payments made for financing obligations and finance lease	—	(276)	(55)
Repurchases of common shares	(410)	(215)	—
Proceeds from private placement, net of share issuance costs	—	—	20,820
Proceeds from options exercised	—	—	98
Employee retention credit	—	—	7,215
Net cash provided by (used in) financing activities- continuing operations	4,188	(15,929)	(3,611)
Net cash used in financing activities- discontinued operations	—	(8,787)	(8,889)
Net cash provided by (used in) financing activities	4,188	(24,716)	(12,500)
Net increase (decrease) in cash and cash equivalents and restricted cash during the year	11,109	987	(1,248)
Net effects of foreign exchange	(572)	653	(168)
Cash and cash equivalents and restricted cash, beginning of the year	26,987	25,347	26,763
Cash and cash equivalents and restricted cash, end of the year	\$ 37,524	\$ 26,987	\$ 25,347

The accompanying notes are an integral part of these consolidated financial statements.

Consolidated Statements of Cash Flows (Continued)

(Amounts expressed in thousands of United States dollars, except for per share amounts)

	December 31, 2025	For the Years Ended December 31, 2024	December 31, 2023
Supplemental disclosure with respect to cash flows			
Cash paid (received) for Federal income tax, net	\$ 6,466	\$ (7,707)	\$ (3,664)
Cash paid (received) for State income tax, net			
New Jersey	2,805	2,057	200
Maryland	1,525	969	(35)
Pennsylvania	(1,105)	(294)	440
Other	(288)	(53)	(221)
Total cash paid (received) for income tax, net	<u>\$ 9,403</u>	<u>\$ (5,028)</u>	<u>\$ (3,280)</u>
Interest paid	\$ 27,938	\$ 23,847	\$ 23,037
Lease termination fee paid	2,000	271	379
Non-cash transactions			
Equity and warrant liability issued for acquisitions and non-controlling interest	\$ 1,278	\$ 4,674	\$ 8,601
Change in accrued capital expenditures	(144)	(1,098)	1,494
Equity issued for price protection on contingent consideration	1,903	693	—
Warrant issued as consideration for services	—	—	1,000
Debt instrument issued as consideration for acquisitions	12,980	—	11,689
Shares issued for legal and liability settlement			

Discontinued Operations

Discontinued Operations

For the Years Ended

	December 31, 2025	December 31, 2024	December 31, 2023
	(In thousands)		
Loss from discontinued operations, net of tax	\$ (56,842)	\$ (51,779)	\$ (59,103)
\$ change	\$ (5,063)	\$ 7,324	
% change	10%	-12%	

During the year ended December 31, 2025, the loss on discontinued operations of \$56,842 was primarily driven by an impairment of property and equipment of \$41,271, attributable to the Company's expedited sales strategy in Michigan, constructions in process that will no longer be completed, and the continued increase of competition in the Michigan market and continued market saturation and price compression in Michigan which negatively impacted gross margins. The loss was also impacted by the termination of certain leases and inventory write-offs.

During the year ended December 31, 2024, the loss on discontinued operations of \$51,779 was primarily driven by impairment of intangible assets of \$39,334 and impairment of property and equipment of \$6,073 attributable to declining revenue in Michigan as a result of increased competition.

During the year ended December 31, 2023 the loss on discontinued operations of \$59,103 was primarily driven by impairment of intangible assets of \$35,785 and impairment of property and equipment of \$4,769 attributable to increased competition.

Liquidity and Capital Resources

Unless otherwise noted, dollar amounts in this section are in thousands of U.S. dollars, except dollar amounts per security.

	December 31, 2025	December 31, 2024
Cash and cash equivalents	\$ 37,414	\$ 26,381
Restricted Cash	110	606
Current assets	110,108	176,887
Non-current assets	447,271	430,344
Current liabilities	79,931	91,049
Non-current liabilities	378,427	339,366
Working capital	30,177	85,838
Total shareholders' equity	\$ 99,021	\$ 176,816

The calculation of working capital provides additional information and is not defined under GAAP. The Company defines working capital as current assets less current liabilities. This measure should not be considered in isolation or as a substitute for any standardized measure under GAAP.

Management assesses the Company's liquidity in terms of its ability to generate cash to fund its operating, investing, and financing activities. The Company remains in a strong financial position, with resources available for reinvesting in existing businesses, conducting acquisitions, and managing its capital structure on a short and long-term basis. The Company believes its existing cash balances will be sufficient to meet its anticipated cash requirements from the date of this Annual Report through at least the next 12 months.

Since its inception, the Company's primary sources of capital have been through the issuance of equity securities or debt facilities, and the Company has received aggregate net proceeds from such transactions totaling \$861,332 as of December 31, 2025.

The Company expects to fund any additional future requirements through the following sources of capital:

- cash from ongoing operations.
- private placements and public offerings of equity or debt securities.

- additional debt from additional creditors.
- sale of real property.
- sale leaseback transactions.
- exercise of options and warrants.

As of December 31, 2025, the Company had \$225,452 in principal outstanding under its loans payable, excluding any prepayment or exit fees, of which \$5,469 is due in the next twelve months. The Company also had \$19,355 in principal outstanding under its convertible debt, of which \$10,355 is due within the next twelve months. In addition, accrued interest in the aggregate amount of \$2,171 related to the Company's convertible debt is due in the next twelve months.

The Company has entered into leases for certain premises and offices for which it owes monthly lease payments. The Company has \$59,441 in lease obligations. Of this amount, \$4,360 of lease payments are due in the next twelve months.

As of December 31, 2025, the Company had accounts payable and accrued liabilities of \$39,807 and corporate income taxes payable of \$5,360.

The Company intends to meet its capital commitments through any or all of the sources of capital noted above. The Company's objective with respect to its capital management is to ensure it has sufficient cash resources to maintain its ongoing operations and finance future obligations.

The Company does not have any off-balance sheet arrangements that have, or are reasonably likely to have, a current or future effect on the Company's results of operations or financial condition, including and without limitation, such consideration as liquidity and capital resources.

The Company is subject to a financial covenant as a result of its loan payable with its primary lender. The Company was in compliance with its debt covenant as of December 31, 2025. In the event that, in future periods, the Company's financial results are below levels required to maintain compliance with its covenant, the Company will assess and undertake appropriate corrective initiatives with a view to allowing it to continue to comply with its covenant. Other than the covenant related to loans payable, the Company is not subject to externally imposed capital requirements.